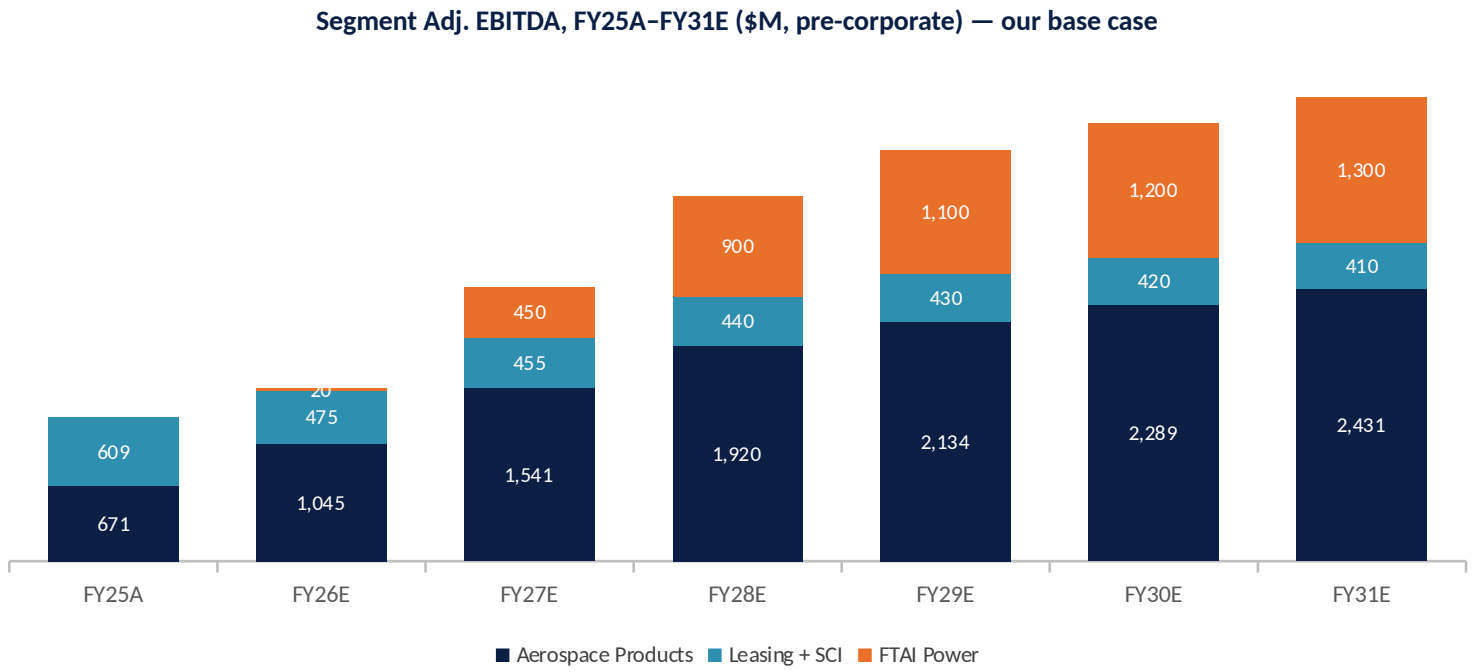
FTAI Aviation (NASDAQ: FTAI)

Long Recommendation: The Trough Is Priced As A Cliff



Key Financials	
Share price (2-Oct-26)	$167.03
Market cap	$17.4bn
Enterprise value	$20.6bn
EV / FY26E EBITDA	15.7x
EV / FY27E EBITDA	9.2x
FY27E UFCF conversion	47%
Net debt / FY26E EBITDA	2.3x
SOTP target (FY27E)	$277

October 2026 | **Max Salomon**

Current Price: **$167.03** (10/2/26) | Target Price: **$277** (+66%) | Reward / Risk: **3.4x**

Pitch Pre-Requisites & Beliefs

FTAI AVIATION

What You Need To Believe For This Pitch

~30% Is The Floor, Not A Waypoint

Cheap leasing stock is **<8% of inventory**, heavy-scope mix is capped by shop capacity, and **PMA runs through SCI's own engines**. Two more ~30% prints prove the trough and the multiple re-rates.

The CFM56 Whitespace Becomes FTAI's

OEMs and big MROs are moving slots to LEAP while LEAP keeps CFM56s flying. FTAI's capacity is **already built**; Cairo and Jakarta ramp in 2027 and take FTAI to **~25% of CFM56 module demand**.

Power Is A Call Option, Paid For Free

The grid falls **8–47 GW short from 2029**. FTAI's xAI order came at the shell-and-GPU stage; a long list of sites sit at that stage today without power. Turbines are **~13% of build cost** and move with the tenant.

Pre-Requisites For Understanding

1. **Aerospace Products is a module factory:** FTAI swaps restored CFM56 modules from its own pool, so margin is driven by feedstock cost, workscope mix and price, not labour hours
2. **Two denominators matter:** FTAI's share of third-party module work (12% → 20%) and its share of **all** CFM56 module demand once captive SCI volume is added (17% → ~25%)
3. **Power is valued on the signed order only.** Every new contract is upside; our bear case assumes half the JV economics and 30% margins

Valuation Summary

Bear Case	20% Probability: $173 SOTP (+4%)
Base Case	60% Probability: $277 SOTP (+66%)
Bull Case	20% Probability: $308 SOTP (+85%)

Probability-weighted: $262 (+57%) | DCF cross-check: $308 (+84%)

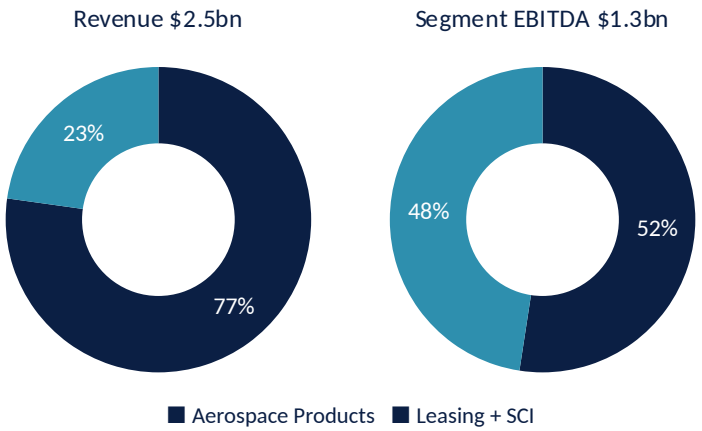
Source: FTAI filings; GPS model (FY27E SOTP by case, blended DCF)

Business Overview

FTAI AVIATION

One Engine Family, Three Ways To Earn: Fix It, Own The Planes It Flies On, Power With It

FY25 Revenue & EBITDA Mix



Aerospace Products is **77% of revenue** but only half of EBITDA today; by FY27E it is **~63% of segment EBITDA** and Power adds a third leg

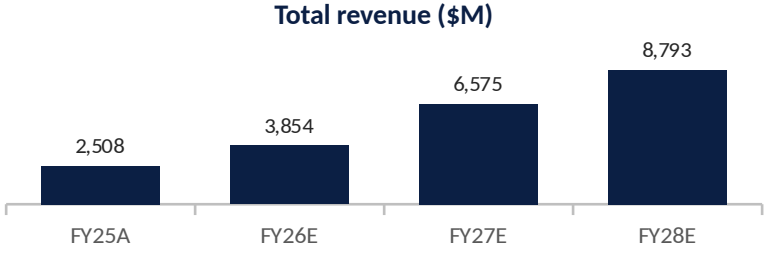
How The Segments Work

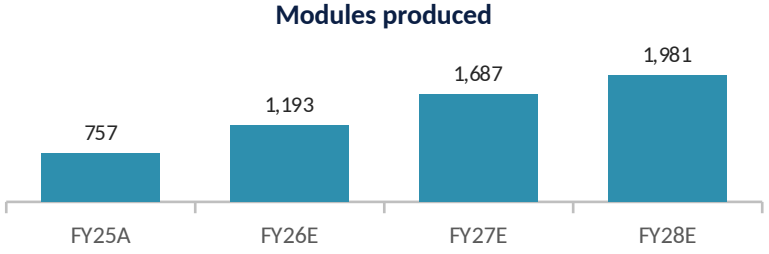
Aerospace Products	Restores and exchanges CFM56-5B/-7B modules (fan, core, LPT) and sells USM parts. FY25: **757 modules, $1.94bn revenue, 34.7% margin**
Leasing + SCI	Mid-life jets and engines. Leasing assets are being sold into **SCI**, an FTAI-sponsored fund that buys aircraft and sends **all engine work to FTAI** (316 aircraft YE26E)
FTAI Power	Converts CFM56-7B cores into **25 MW mobile gas turbines** for data centers. First order **$1.465bn** via JV; FY27 Power EBITDA guide **$450–750M**

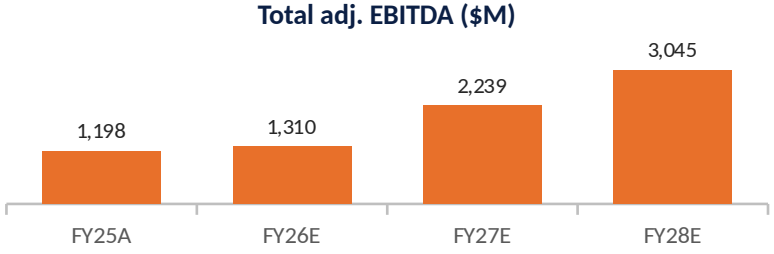
Cap Table

Item	Value
Share price (10/2/26)	$167.03
Diluted shares (mm)	104.0
Market cap ($mm)	17,378
(-) Cash ($mm)	(337)
(+) Total debt ($mm)	3,453
(+) Preferred ($mm)	65
Enterprise value ($mm)	**20,560**
EV / FY27E EBITDA	9.2x

Financial Highlights (Base Case)







Source: FTAI 10-K FY25, Q2'26 supplement; GPS model

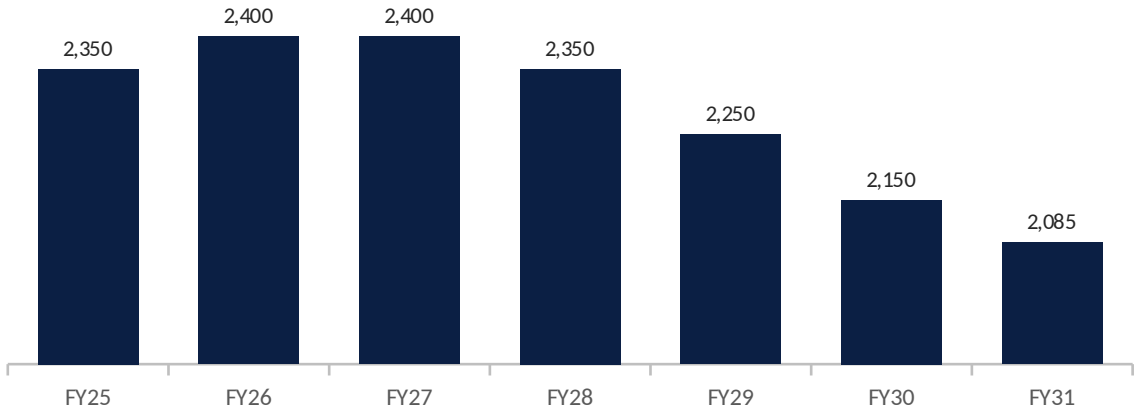
Industry Overview: The CFM56 Aftermarket

FTAI AVIATION

The Best-Selling Engine Ever Built Is Entering Its Heaviest, Most Repeat-Heavy Maintenance Years

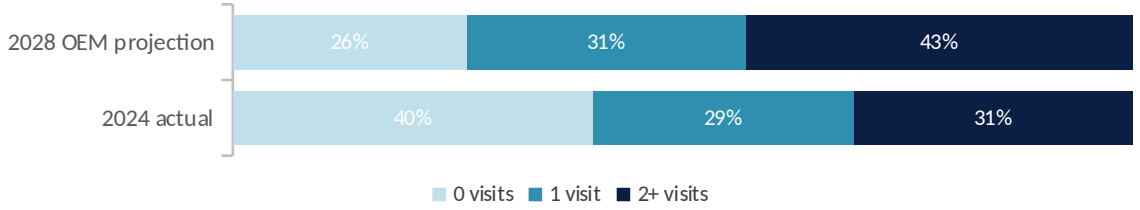
Installed Fleet & OEM Shop-Visit Outlook

CFM56-5B/-7B shop visits (GE central case); fleet 22.7k → 19.5k engines



~22,700 engines in service, **~2,350 shop visits/yr** → **~7,000 modules/yr** of demand. GE expects visits to **plateau through 2028**, and our base case only declines 2% a year after that

Fleet By Completed Shop Visits: Older Engines Need More Work



Who Services The CFM56

Provider	Model	CFM56 posture
OEM (GE / Safran / CFM)	Licensor, parts seller, own shops	Shifting slots and capex to **LEAP**
Large MROs (MTU, LHT, SRT, AFI KLM)	Full shop visit, 90–180 days	Adding LEAP lines; CFM56 slots **sold out**
Airline shops (Delta, UAL in-house)	Own fleet first	Feeding own fleets; UAL now **outsources to FTAI**
FTAI	**Module exchange, 5–25 days**	**Only scaled player adding CFM56 capacity**

Industry Growth Algorithm

Engines in fleet	**× Shop-visit rate**	**= Shop visits**
Shop visits	**× 3 modules**	**= Module demand**
Module demand	**× FTAI share (+ SCI)**	**= FTAI modules**

Margin then depends on **feedstock cost** (USM / part-out engines), **workscope mix** (light 42% vs heavy 25% margin per job), **price** (third-party repair catalogues up **6.2%/yr**) and **PMA** content

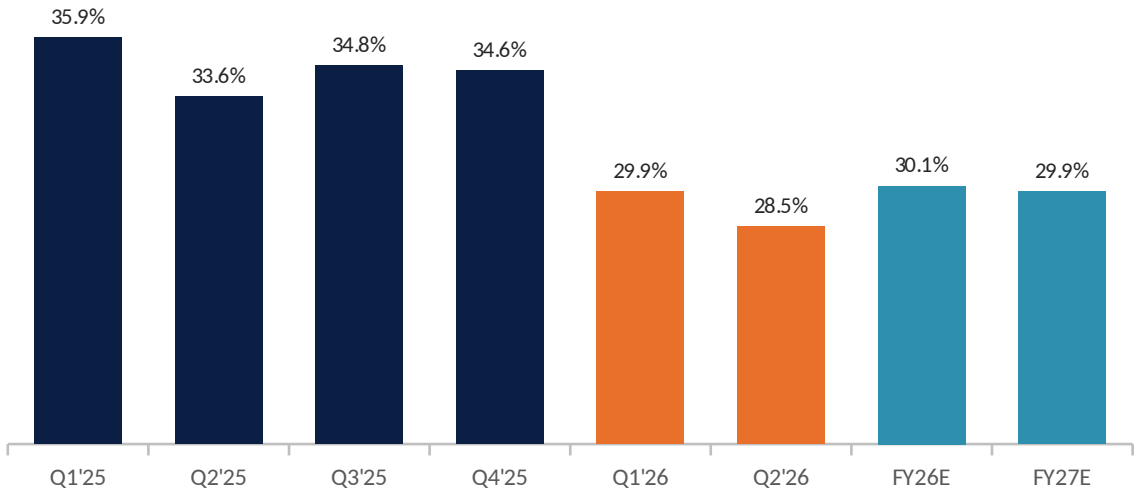
Source: GE / CFM shop-visit outlook; Safran, MTU fleet counts; OEM cohort projection; SR Technics catalogues; GPS model

The Opportunity (1/2): A Reset Read As Fraud

FTAI AVIATION

In One Quarter Aerospace Margins Fell ~500 bps And Management Guided ~30%; The Market Assumed The Short Thesis Was Unwinding

Aerospace Products Adj. EBITDA Margin



Q1'26: –470 bps q/q to 29.9%, Q2'26 28.5%. Management: more full performance restorations and large-airline deals; share over margin. Q2 call: **"around 30% for the next 1–2 years"**. Stock fell ~19% to $162 after Q2

Management's Job Economics (Q2'26 Call): Blend ≈ 30%

Engine at visit	Workscope	Margin	Dollars per engine
~6,000 cycles	Light	~40%	Similar
~10,000 cycles	Heavy	~25%	Similar, more capital

The market thinks...	...but in reality
The reset is the Muddy Waters thesis unwinding: cheap, depreciated leasing engines are running out	Even if true, **<8% of inventory** came from leasing. The cheap stock is nearly gone and margins **already** show the core business
Heavy-scope mix keeps rising, so 30% is a waypoint	Heavy work is **capacity-limited** and was taken to win airline contracts (UAL). Management has no incentive to go further
PMA penetration will stay negligible: supply chains and lessors object	FTAI **is the lessor** for SCI's growing fleet: SCI is **~30–40% of modules** and can run PMA without asking anyone
CFM56 is a melting ice cube; fuel shock speeds retirements	LEAP is grounded or slow in the shop, so CFM56s keep flying. **No evidence** of faster retirement in 2026 data
Power is a press release	A signed **$1.465bn** order; the grid is short from 2029 and dozens of sites are at the stage xAI was

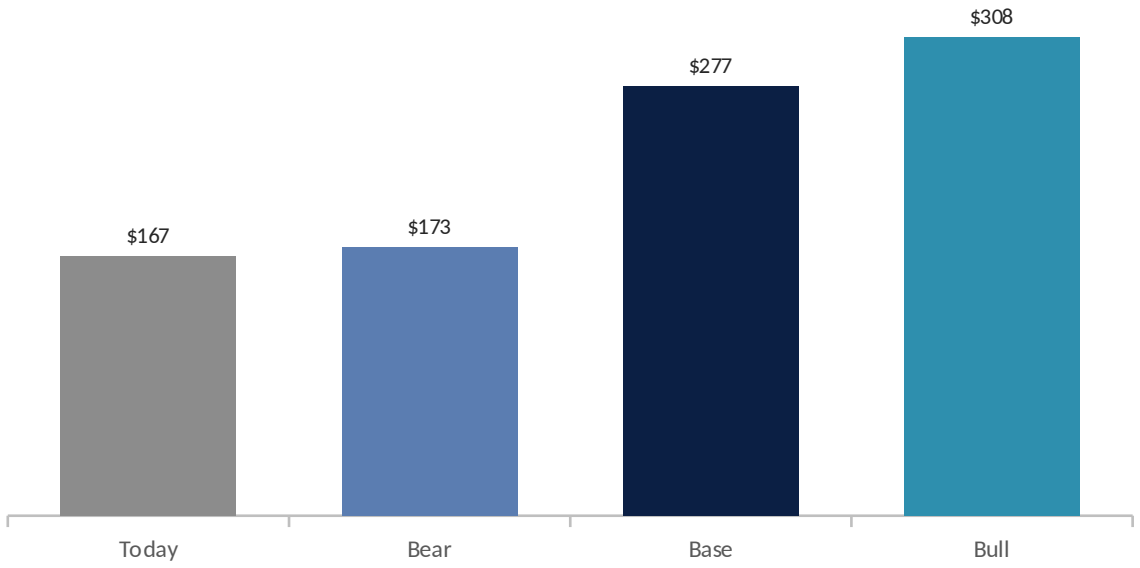
Source: FTAI Q4'25–Q2'26 earnings calls and supplements; Muddy Waters (Jan-25); GPS model

The Opportunity (2/2): $167 Prices The Bear Case

FTAI AVIATION

Hold Margins At 28.5%, Share At 15%, Power At Half Economics: You Still Get $173

FY27E SOTP By Case ($ / Share)



The bear case strips out **every** thesis: no margin recovery, no share gain beyond 15%, Power at 30% margin and 50% JV capture. It lands **above** today's price

Bear-case DCF ($103) is the real downside: it also assumes CFM56 retirements accelerate and inventory never normalises

What Each Case Assumes (FY27E unless noted)

Driver	Bear	Base	Bull
Aerospace margin FY27E / FY31E	28.5% / 28.5%	29.9% / 32.5%	31.2% / 34.5%
Third-party CFM56 share FY30E	15%	20%	24%
Modules FY27E / FY30E	1,387 / 1,382	1,687 / 2,112	1,752 / 2,366
PMA penetration FY31E	0%	9%	9%
Power units FY27E / FY29E	30 / 50	45 / 110	55 / 150
Power EBITDA FY27E	$113M	$450M	$550M
SCI aircraft FY28E	375	550	550
Total adj. EBITDA FY27E	$1.47bn	$2.24bn	$2.47bn
SOTP / share	**$173**	**$277**	**$308**

At $167 the stock trades at **9.2x FY27E EBITDA** versus **16x** we apply to Aerospace and **~20x** for the aftermarket peer median: the fraud discount is pricing a business that no longer exists

Upside skew: +66% base, +85% bull, +4% bear on SOTP

Source: GPS model case toggle (Bear / Base / Bull), FY27E SOTP at Aerospace 16x, Power 12x, Leasing + SCI 9x; aftermarket peer median per FactSet

Theses Summary

Three Theses: The Trough Is A Floor, The Share Is Coming, And Power Is Free

I

Margins Have Bottomed: ~30% Is The Floor

Even if the short thesis is right, depreciated leasing stock is <8% of inventory. Heavy-scope mix is capped by capacity and incentive, and PMA enters through SCI, where FTAI is the lessor. Two more stable prints re-rate the trough

II

FTAI Takes The CFM56 Whitespace To ~25% Share

OEMs and MROs move capacity to LEAP while LEAP problems keep CFM56s flying and retirements run below plan. FTAI's cost and turnaround edge wins the visits, and its capacity is already built

III

Power Is A Call Option The Market Isn't Paying For

The grid is short from 2029 and hyperscaler capex outruns contracted power. The first order came from a site at a stage many campuses share today. Mobile units are ~13% of build cost and pay back in about a month of earlier revenue

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Thesis 1 (1/4): Even If The Bears Are Right, It's Over

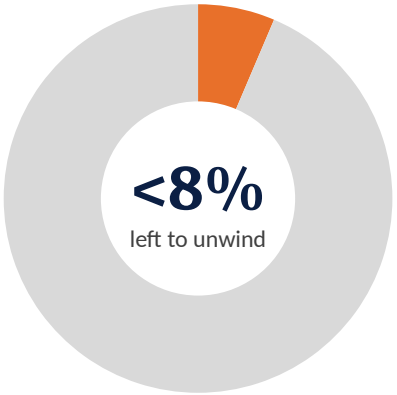
FTAI AVIATION

Depreciated Leasing Engines Are <8% Of Current Inventory: Today's ~30% Is Already Core-Business Margin

The Short Thesis, Step By Step (Muddy Waters, Jan-25)

Leasing engines depreciated on the books, even off-lease → Transferred into Aerospace Products inventory at book value → Sold at market prices: low cost basis inflates AP margin

Share Of Inventory From Leasing

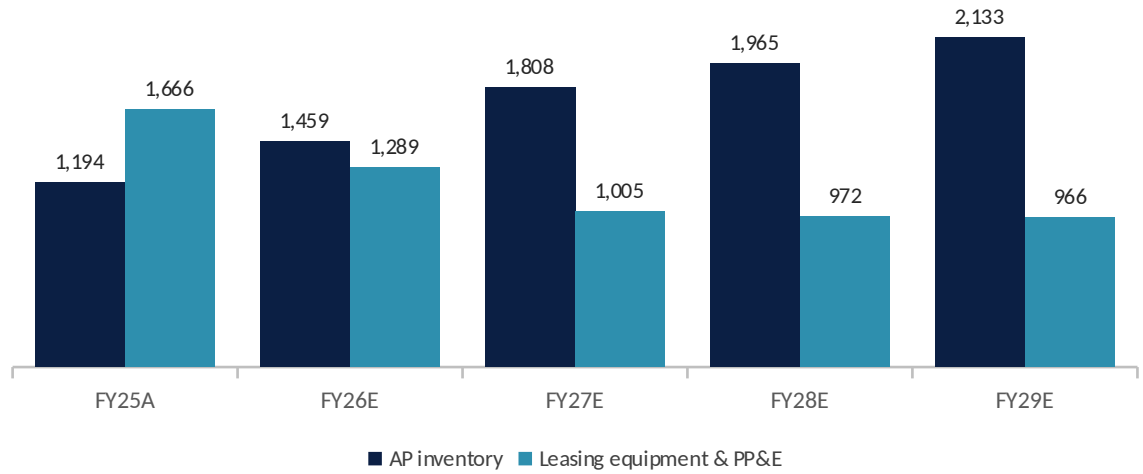


- Q1'26 leasing→inventory transfers: **$89.6M** vs inventory of **~$1.4bn** (**~6%**)
- Flow now runs the **other way**: **$169M** moved inventory→leasing in 1H26 for rebuild and sale
- Leasing equipment net down to **$1.53bn** (Jun-26) from $2.06bn (Dec-25) as aircraft go to SCI

Audit-committee review with independent advisors found the claims **without merit**; 10-K filed on time, **no restatement**

Bear math, worst case: <8% of stock at a ~40% cost advantage × ~50% material content = **≤150 bps** of residual drag — already inside our 28.5% bear case

Inventory Is Now Bought, Not Transferred ($M)



Where The Feedstock Comes From Now

Source	Example	Cost basis
Airline run-outs under MRE	**United** 737NG -7B program (8-Oct-26)	Market
Fleet retirements	**WestJet**: 10 of 27 737-700s to AP (28-Sep-26)	Market
USM agreements	AAR exclusive CFM56 USM through 2030	Market
Legacy leasing pool	Off-lease engines (shrinking)	Depreciated

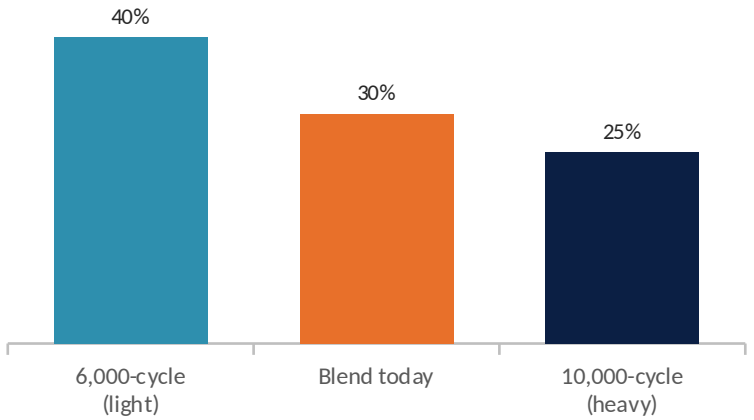
Source: Muddy Waters (Jan-25); FTAI 10-Q Q1'26, Q2'26 cash-flow disclosures; FTAI releases; GPS model. Share = Q1'26 transfer / inventory

Thesis 1 (2/4): Heavy-Scope Mix Has Peaked

FTAI AVIATION

Heavy Work Was A Customer-Acquisition Tool; It Is Capacity-Limited And Management Has No Reason To Push It Further

Management's Job Economics (Q2'26 call)



"Similar dollars per engine, but more investment." Heavier jobs carry **lower margin but more EBITDA dollars** and lock in the airline

Our base case holds ~30% through FY27: no mix recovery assumed

Bears Say Mix Has More Room To Run...

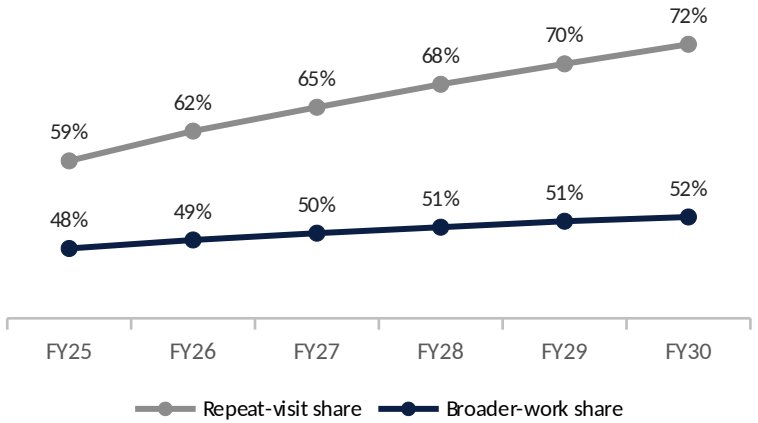
- Fleet is ageing: **repeat-visit share** rises from 59% to 72% by 2030
- Airline deals (UAL, large carriers) skew to full performance restorations
- Management guided "around 30% for the next 1–2 years" and chose share over margin

...But The Constraints Say Otherwise

- **Capacity-capped:** heavy work needs core disassembly and test cells. Jakarta (heavy) only adds capacity from 2027
- **Incentive:** the purpose was winning airline contracts. UAL is **signed** (V2500, now CFM56-7B MRE); more heavy work adds capital, not customers
- **Supply-constrained market:** management says CFM56 is "supply-constrained, not demand-constrained". FTAI can choose its mix

Every 10 pts of mix back to light work = +1.5–2 pts margin

Broader-Work Share Only Drifts ~1 pt A Year



Even as engines age, the share of visits needing broader work rises only **48% → 52%** by 2030. The step-change already happened in **1H26** as FTAI won airline contracts

AP Margin vs Light-Scope Share Of Jobs

Light share	30%	40%	50%	60%	70%
AP margin	28%	29%	31%	32%	34%

Source: FTAI Q1'26 and Q2'26 calls; United / FTAI release (8-Oct-26); OEM cohort data (CFM56 fleet by completed shop visits); GPS model

Thesis 1 (3/4): PMA Gets In Through FTAI's Own Fleet

FTAI AVIATION

The Market Prices ~0% PMA Because Lessors Object; At SCI, FTAI Is The Lessor

The Street's Objection

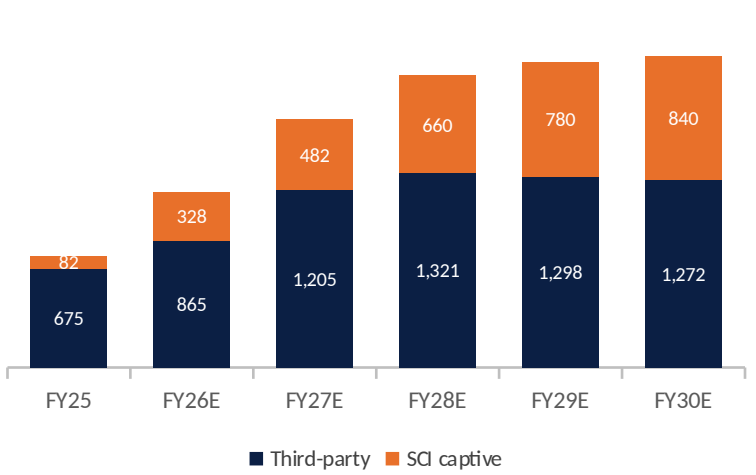
- **Lessor resistance:** PMA parts can hurt asset conformity, residual values and return conditions
- **Supply chain:** Chromalloy's 2025 output sold out; LPT blades not yet approved
- **Result:** consensus gives PMA almost no value; our base case uses only **0.9% → 9%** penetration

What's Already Approved (Chromalloy)

Part	Status
HPT stage 1 vane	**Approved**
LPT stage 1 NGV	**Approved**
HPT blade	**Approved (Oct-25)**
LPT stage 1 & 2 blades	Pending

Chromalloy's CEO: **"80% of the savings will come from the first three parts"**, and all three are approved. In Apr-26 a US airline adopted the HPT blade

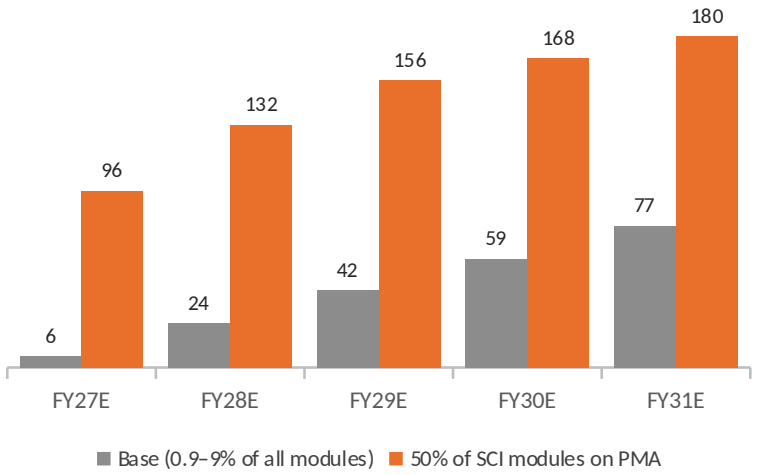
SCI Is A Growing Share Of FTAI's Modules



SCI owns the aircraft and sends **all engine work to FTAI**. SCI rises from **11% to ~40%** of modules (130 → 700 aircraft); FTAI sponsors and services the fund, so it **sets the parts policy**

Diligence item: confirm SCI's LP and lender terms allow PMA (no public disclosure either way)

PMA EBITDA Uplift: Base vs SCI-Led ($M)



	Base	SCI-led
Uplift per PMA module	$0.4M	$0.4M
FY28E AP margin uplift	+0.4 pts	+2.1 pts
FY28E value at 16x / share	$4	$20

SCI alone can take AP margin back above 32% without a single outside lessor signing up

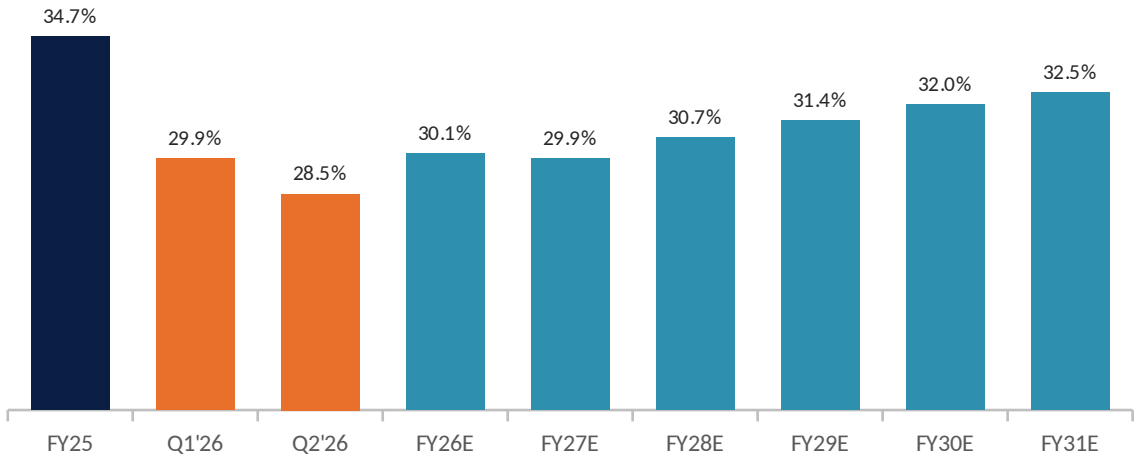
Source: Chromalloy / FAA PMA releases; Aviation Week; AviTrader (May-26); FTAI 10-K (SCI); GPS model (PMA uplift $0.4M per module; SCI modules from RPM build)

Thesis 1 (4/4): Two Stable Prints Re-Rate The Trough

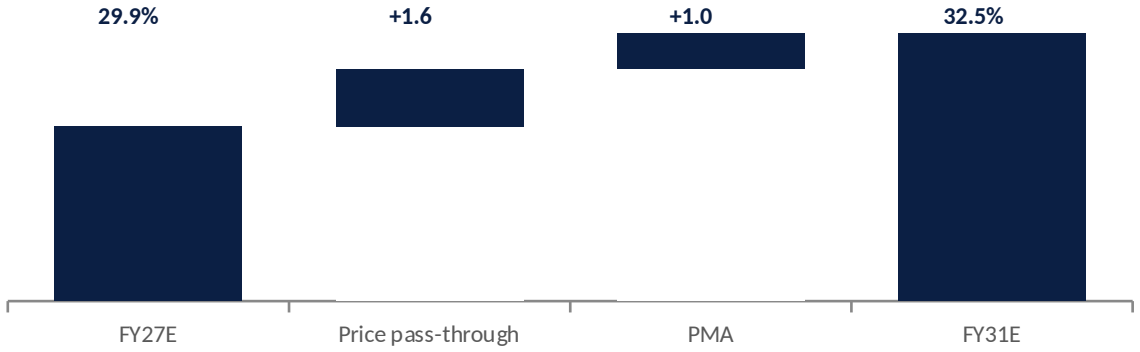
FTAI AVIATION

Price Catch-Up Plus PMA Rebuild Margins To 32.5%; The Market Only Needs To See ~30% Hold

Aerospace Margin: Trough, Then Rebuild (Base Case)



Bridge FY27E → FY31E



Pricing Headroom

Catalogue	Matched parts	Median Δ	Higher / Lower
CFM56-5B 2024→25	1,342	6.2%	1,338 / 1
CFM56-5B 2025→26	1,070	6.2%	1,057 / 0
CFM56-7B 2025→26	992	6.1%	981 / 0

Third-party repair prices rise **~6% a year** with almost none falling. FTAI held price to win share; we assume it passes through **half** of the escalator from FY28, lifting **EBITDA per module from $0.91M to $1.14M**

Catalyst: The Next Two Prints

Q3'26 (29-Oct)	First print after the guide. ~30% holds while modules run toward 1,200; first PMA usage commentary
Investor day (10-Dec)	2027 framework: 1,700 modules, Power backlog, SCI II size
Q4'26 (Feb-27)	Second ~30% print + FY27 guide: the market stops reading 30% as a waypoint

Each +1x on Aerospace EBITDA = ~$15 / share

Source: SR Technics CFM56 capabilities & price catalogues (2024–26, ~3,400 matched packages); FTAI Q2'26 call; GPS model (FY27E AP EBITDA $1,541M / 104.0mm shares)

Theses Summary

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Thesis 2 (1/4): OEMs Leave Whitespace Behind

FTAI AVIATION

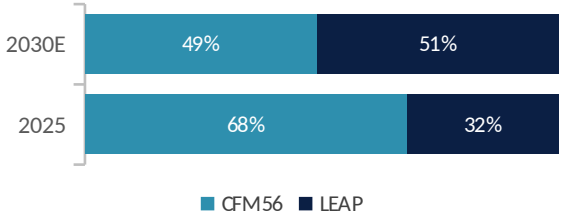
OEMs And Large MROs Are Pouring New Capacity Into LEAP While CFM56 Demand Plateaus At ~2,350 Visits A Year

Where New Capacity Is Going

Player	Recent capacity move	Engine
GE Aerospace	**>$1bn** over 5 yrs; ~half of MRO spend now on LEAP	**LEAP**
Safran	**>€1bn** over 5 yrs; Querétaro sized for 350 LEAP visits/yr by 2030	**LEAP**
CFM open network	35 licensed LEAP sites	**LEAP**
ST Engineering	300 CFM engines/yr by 2027, weighted to LEAP	Mixed
MTU / LHT / AFI KLM	LEAP lines ramping; CFM56 slots **sold out into 2027**	Mixed
FTAI	**2,000 → 3,000 modules/yr**, all CFM56 (+ Jakarta, Cairo)	**CFM56**

"The variability in capital investment required to capture the LEAP is extremely low versus what it took them to capture the CFM." — **Former executive, engine MRO shop**

GE Commercial MRO Spend Mix

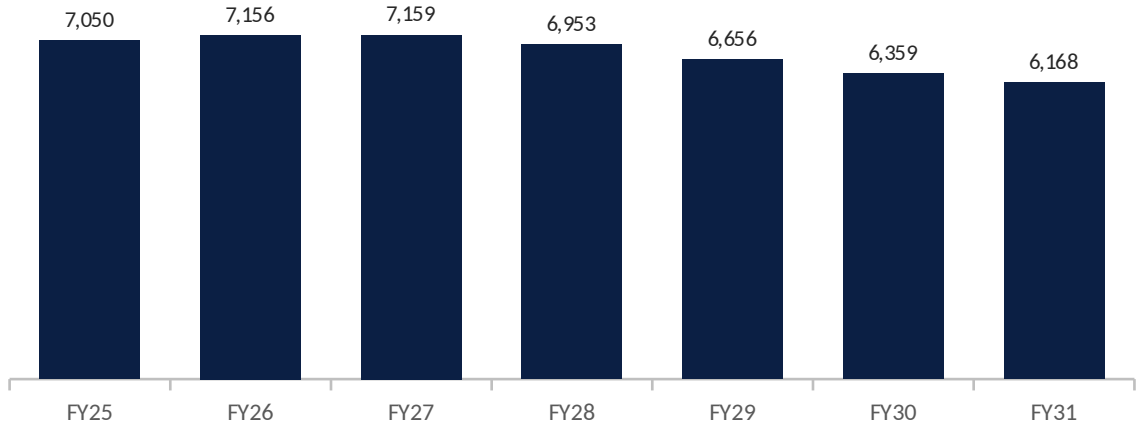


+50%
LEAP shop visits y/y (GE, 2026)

40%
GE shop-visit slots **oversubscribed**

CFM56 Demand Stays Put While Supply Leaves

CFM56 module demand (3 per shop visit), base case



- Module demand only falls **~2% a year** after the 2026–28 plateau; LEAP/GTF visits do not pass CFM56/V2500 until the **mid-2030s** (FTAI)
- ~45% of CFM56s have **not had a first shop visit** (CFM): the heaviest second and third visits are still ahead
- Every slot an OEM or MRO moves to LEAP is a CFM56 visit that has to go **somewhere else**. FTAI is the only scaled player adding CFM56 capacity

Whitespace: shrinking supply + flat demand = share for the last scaled builder

Source: GE Aerospace and Safran investor materials; Aviation Week; CFM; ST Engineering; FTAI Q4'25 and Q2'26 calls; expert call; GPS model

Thesis 2 (2/4): LEAP Keeps The CFM56 Flying

FTAI AVIATION

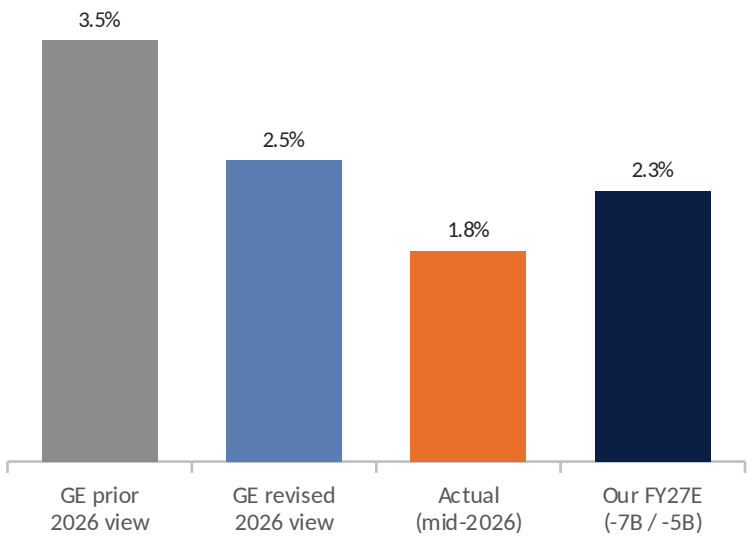
LEAP Is Late, Grounded Or Stuck In The Shop; The Fuel Shock Has Not Moved Retirements

Why The Replacements Aren't Arriving

LEAP-1B durability	HPT kit certified **Jul-26**; full production cutover only **early 2027**
LEAP-1A durability	Only **~40%** of fleet kitted; 70% has reverse-bleed fix
GTF groundings	**~835** PW1100G aircraft grounded or stored (late 2025); relief "a few more years" away
Delivery backlog	Airbus/Boeing still behind plan; airlines **cannot retire** what isn't replaced

LEAP time-on-wing issues persist **into 2027**, which pushes utilisation back onto CFM56-5B/-7B and keeps them in the shop-visit pool

CFM56 Retirement Rate: Assumed vs Actual



Midpoints of GE's 3–4% and 2–3% ranges vs 1.5–2% actual. Our base case **still steps retirements up** to 2–4% by FY31

The Fuel-Shock Bear Case

Bear: jet fuel more than doubled from Feb-26 (Hormuz); IATA cut 2026 profit to ~$23bn. Old, thirsty CFM56 jets get parked first

Our view: no evidence, and fleets can't turn on a dime

- GE's mid-2026 data shows retirements at **1.5–2%**, below its own 2–3% assumption
- IBA (Sep-26): CFM56 values **"broadly stabilised"**; -5B lease rates **+11%**. Retired engines would push values down
- Retirement plans are set by **lease terms, delivery slots and crew/sim training** years ahead
- WestJet's 737-700 retirement is real — and **FTAI is the buyer** (10 aircraft to AP feedstock)

Bear case cuts -5B retirements to 4–5%/yr: still $173 SOTP

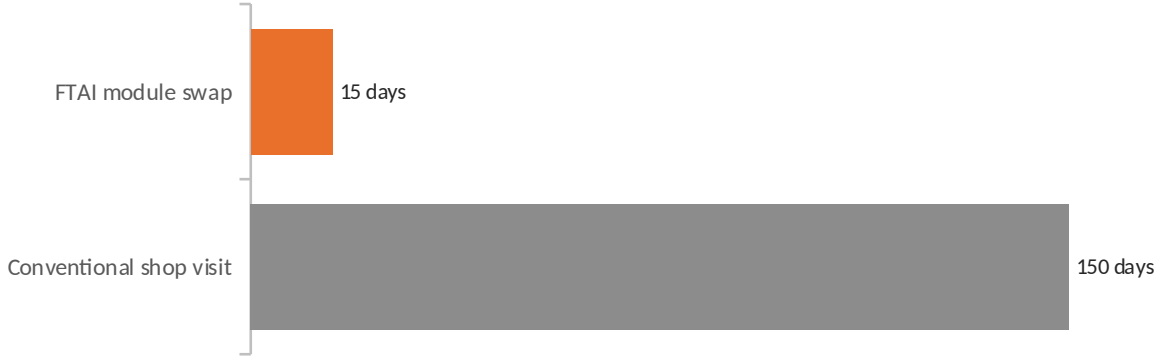
Source: GE Aerospace (Morgan Stanley Laguna conf., via Aviation Week); GE Q2'26 release; Leeham; The Air Current; Cirium; IATA (Jun-26); IBA (H1'26, Sep-26); WestJet / FTAI (28-Sep-26); GPS model

Thesis 2 (3/4): Why FTAI Wins The Whitespace

FTAI AVIATION

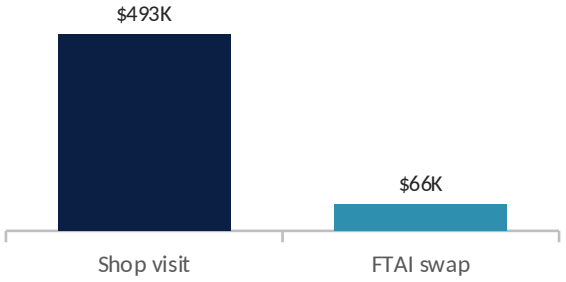
Cheaper, Faster, And With Its Own Feedstock: FTAI Sells Airlines Time They Can't Buy Elsewhere

Days Off Wing



Shop visit 120–180 days incl. 2–6 months waiting for a slot; FTAI swap 5–25 days

Lease Cost While Grounded ($K)



~7x
faster back in service

$427K
lease cost saved per event

"FTAI's advantage is basically turnaround time and cheaper sourcing." — **Industry expert**

FTAI vs A Conventional Shop

Edge	FTAI	MTU / LHT / SRT / OEM shops
Feedstock	1,000+ owned CFM56s; WestJet, United run-outs; AAR USM through 2030	Buy new OEM parts at list (+6%/yr)
Parts cost	PMA (3 of 5 approved), USM, in-house repairs	OEM-licensed, little PMA
Model	Swap a restored module from the pool	Repair the engine in sequence
Labour	Montreal, Miami, Lisbon, Jakarta, Cairo	High-wage Europe
Slots	1,800 modules of unused capacity in 2026	Sold out into 2027
Captive volume	SCI: 482 modules FY27E, contracted	None

Proof It's Working

- **United:** V2500 exchange expanded to a multi-year **CFM56-7B MRE** for the 737NG fleet (8-Oct-26); FTAI buys the run-outs
- **Share:** ~10% → 12% (Q1'26) → **14% (Q2'26)** of the CFM56/V2500 market; modules **+61% y/y** in Q2
- **Guidance:** 2026 modules raised twice, 1,000 → 1,050 → **1,200**; 2027 target **1,700**

Source: FTAI Q2'24 call (TAT); IBA (2024) lease rates; FTAI Q1'26, Q2'26 calls and releases; United / FTAI (8-Oct-26); AAR; expert call. Step lengths illustrative

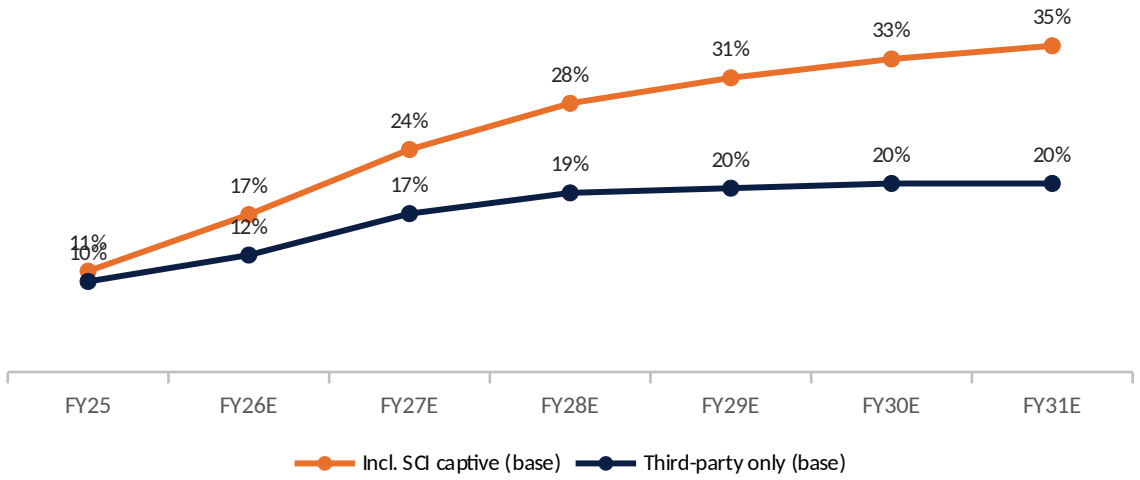
Thesis 2 (4/4): Capex Spent, Share To ~25%

FTAI AVIATION

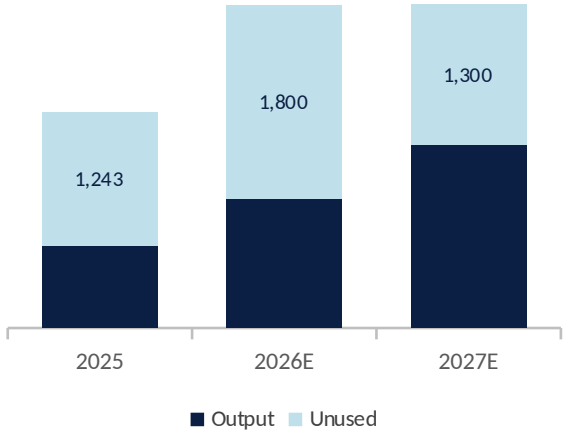
3,000 Modules Of Capacity vs 1,200 Produced: Jakarta And Cairo Ramp In 2027 And Accelerate Volume Adds

2,386	× 3	× 16.8%	+ 482	= 1,687
CFM56 shop visits	modules each	FTAI third-party share	SCI modules	FY27E modules

FTAI Share Of CFM56 Module Demand



Output vs Capacity (Modules)



The Network

Site	Role
Montreal	Flagship, up to ~900
Miami	~475 in 2026E
Rome	QuickTurn; CFM56/LEAP test cell
Lisbon	+113k sq ft → 300+
Jakarta (GMF)	**Heavy; 200+ techs; 5-yr deal**
Cairo (EgyptAir)	**-7B; ~120 techs**

Management sized 3,000 modules for **25% of the market**. Including SCI's contracted volume, FTAI touches **~24% of all CFM56 module demand in FY27E**; third-party share alone only needs to grow **half as fast** as it did in 1H26. Bull: third-party **25%** by FY31

Capex already in the ground; Jakarta and Cairo are **partner-funded**. Volume adds need working capital, not new buildings

Each +1 pt of third-party share ≈ 70 modules ≈ $65M EBITDA ≈ $10 / share

Source: FTAI Q2'26 supplement (1,200 / 1,700 modules, 3,000 capacity, 25% target); GMF / FTAI (23-Sep-26); Aviation Week (Aug-26); GPS model (RPM build)

Theses Summary

FTAI AVIATION

Three Theses: The Trough Is A Floor, The Share Is Coming, And Power Is Free

I

Margins Have Bottomed: ~30% Is The Floor

Even if the short thesis is right, depreciated leasing stock is <8% of inventory. Heavy-scope mix is capped by capacity and incentive, and PMA enters through SCI, where FTAI is the lessor. Two more stable prints re-rate the trough

II

FTAI Takes The CFM56 Whitespace To ~25% Share

OEMs and MROs move capacity to LEAP while LEAP problems keep CFM56s flying and retirements run below plan. FTAI's cost and turnaround edge wins the visits, and its capacity is already built

III

Power Is A Call Option The Market Isn't Paying For

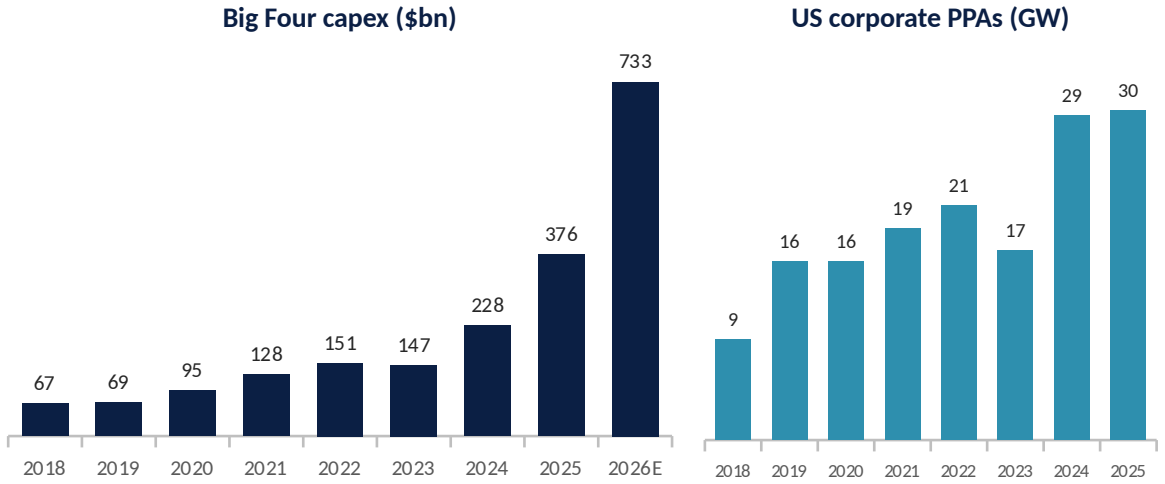
The grid is short from 2029 and hyperscaler capex outruns contracted power. The first order came from a site at a stage many campuses share today. Mobile units are ~13% of build cost and pay back in about a month of earlier revenue

Thesis 3 (1/5): The Power Hole Behind The Capex

FTAI AVIATION

Hyperscalers Fund ~10 GW Of New US Data Center Shells In 2026 Alone; NERC Reserves Go Short From 2029

Capex Is Outrunning Contracted Power



Capex and PPAs moved together for a decade (**0.89 correlation in levels**). In 2025 capex rose **+65%** but PPAs were **flat at ~29.5 GW**: the money is arriving faster than contracted power

Our Rough Power Build

$733bn	× 65%	× 25%	÷ $12M/MW	= 9.9 GW
Big Four 2026 capex	US share	facility (non-GPU)	facility cost	funded in 2026

US Reserve Shortfall vs Requirement (GW), Base Case



	2026	2028	2029	2030	2031
US DC energy demand (TWh)	298	464	549	649	746
Tracked new hyperscaler capacity (GW)	1.5	5.9	7.7	9.6	11.2
Reserve shortfall (GW)	0	0	**8.4**	**27.2**	**47.2**

Data center demand **2.5x by 2031** while new contracted supply adds only ~11 GW. **57%** of power hyperscalers have contracted lands **2029 or later**: a 2–3 year gap that only on-site, fast-to-deploy generation can fill. ERCOT's large-load queue is **~475 GW**, 90% data centers

Source: Company filings (AMZN, GOOGL, META, MSFT); BCSE/BNEF (PPAs); NERC 2025 LTRA; 67 hyperscaler power agreements tracked in GPS model; ERCOT Senate testimony (Jul-26)

Thesis 3 (2/5): What The First Order Tells Us

FTAI AVIATION

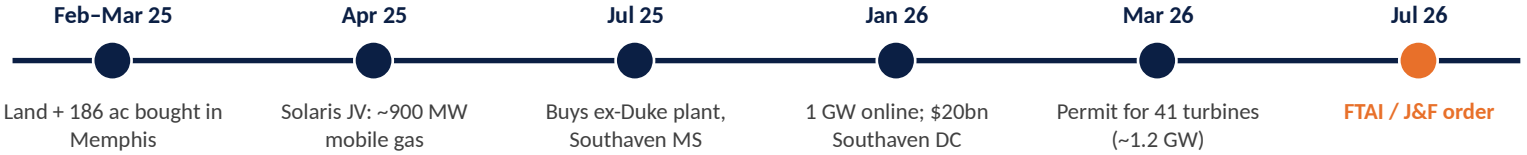
$1.465bn Came From A Site That Was Built, Energized On Mobile Gas, And Out Of Turbines

The Order (22-Jul-26)

Term	Detail
Seller	J&F Power Systems (FTAI × Jereh JV)
Buyer	"Leading international cloud service provider"; **reported to be xAI** (not confirmed)
Size	**$1.465bn** initial PO under a 5-yr MSA
Implied units	~58 Mod-1 at ~$25M (~1.45 GW)
Delivery	Batches through **Nov-27**
Terms	Advance + milestone payments; output penalty capped at 10%

The MSA lets the buyer **re-order without renegotiating**: further xAI-scale orders need no new contract

Reference Site: xAI Colossus 2 / Southaven



"The xAI Stage": What Was True When It Signed

1	**Shell built, GPUs committed**	~1 GW live; next GW ($20bn Southaven) under construction
2	**No grid for the next phase**	MLGW supplies **no power** to Colossus 2; no TVA allocation
3	**Behind-the-meter gas permitted**	41 permanent turbines permitted; gas lateral in place
4	**Incumbent supply tapped out**	Solaris fleet committed; OEM aero slots **2028+**

We use these four conditions as the screen on the next page: a site that meets all four needs **bridge power in 2027–28** and has no OEM alternative before 2029

Diligence flag: FTAI has not named the buyer and xAI was folded into SpaceX in Feb-26. The xAI link comes from Jereh gensets on the Southaven equipment list (CV Research). Our thesis does not depend on the name: the order is signed, priced and has a delivery schedule

Source: FTAI release (22-Jul-26); Q2'26 call; Solaris 8-K; MDEQ permit (10-Mar-26); Mississippi Governor's office (8-Jan-26); DCD; SemiAnalysis; CV Research

Thesis 3 (3/5): Sites At The xAI Stage

FTAI AVIATION

We Screened 24 US AI Campuses: 9 Meet The xAI Conditions, ~10 GW Of Load With No Locked Bridge Supplier

Project (tenant)	Location	Target	Stage	Power plan today	Grid timing	Bridge need	FTAI win
Amazon "GW Ranch" (ex-Pacifico)	Pecos Co., TX	Up to 7.6 GW gen	Bldgs 1–3 under constr.	Off-grid; 35-turbine permit, mixed sizes	Undefined	**High**	**High**
Poolside / CoreWeave "Horizon"	Pecos Co., TX	2 GW (8×250 MW)	Under constr.; Ph1 1Q27	Behind-the-meter; no supplier named	None planned	**High**	**High**
Project Jade (Tallgrass)	Cheyenne, WY	1.8 GW	Plans approved; 2028	CCGT + **"temporary aeroderivatives"**	Off-grid	**High**	**High**
Google / Crusoe "Goodnight"	Armstrong Co., TX	Multi-100 MW	Under constr.; Ph1 2027	933 MW aeros, **not sourced from GE**	Partial	**High**	Med
Meta El Paso	El Paso, TX	1 GW	Under constr.	366 MW utility plant, stalled at PUC	2027 if approved	**High**	Med
Microsoft / Chevron "Kilby"	Pecos area, TX	2–2.5 GW	PPA signed; FID 2026	Chevron BTM; first power **2028**	n/a	Med-High	Med
Cipher "Colchis"	West TX	1 GW	Land + AEP deal	AEP direct connect	**2028**	Med-High	Med
Stargate Milam (SB Energy)	Milam Co., TX	1.2 GW	First bldg ~Oct-26	Solar + storage; no firm gas	ERCOT, n.d.	Med	Med
Nebius Independence	Independence, MO	0.8–1.1 GW	Early constr.	New private plant, fuel n.d.	Oct-27 Ph1	Med	Med

Already locked (screened out): Stargate Jupiter → Bloom fuel cells (2.45 GW); Vantage Frontier → VoltaGrid; Meta Prometheus → Williams; Homer City → GE 7HA; Fermi → owns SGT-800s, no tenant; Abilene Ph3 → GE + third-party aeros (Med). **Grid-led (low need):** Saline MI, Lighthouse WI, Fairwater WI, Galaxy Helios, IREN Sweetwater, Applied Digital ND

60 units
per 1 GW of load at 50% redundancy (~$1.5bn of orders)

3 sites
High win-ability = ~5 GW of load. One of them = **another first order**

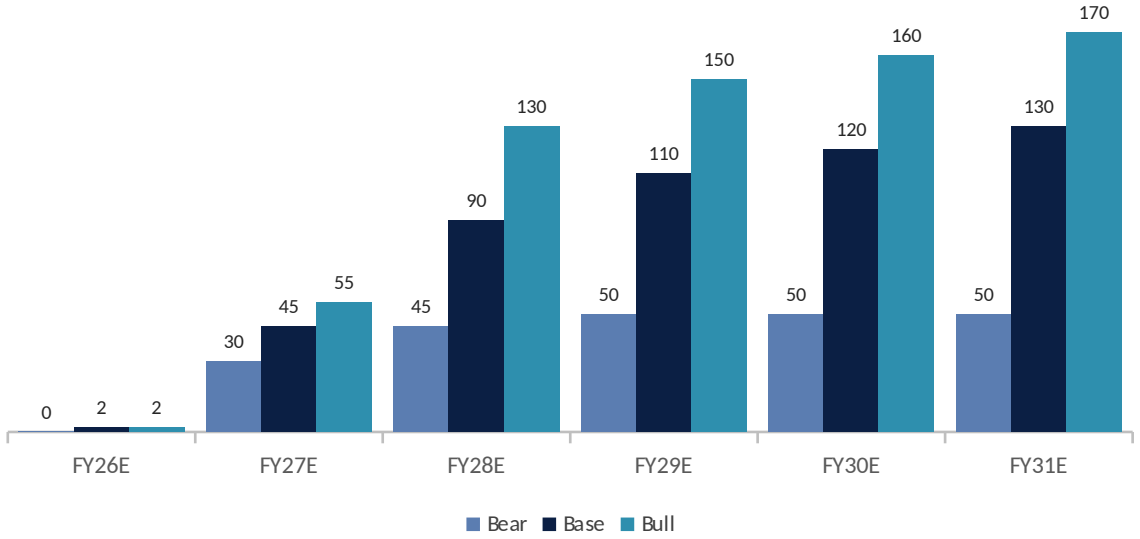
Source: Company releases; TCEQ / MDEQ filings; Cleanview behind-the-meter tracker (2026); Epoch AI; DCD; Texas Tribune; World Oil; GPS analysis. Win-ability = gas access + BTM permitting + no locked supplier + 2026–28 load date

Thesis 3 (4/5): A Faster Ramp Than The Street Thinks

FTAI AVIATION

Prototype To Order In Seven Months; The Feedstock (1,000+ Owned CFM56s) And The Shops Already Exist

Mod-1 Units Delivered By Case



Management's $450M FY27 Power planning base assumes **"materially less" than its 100+ unit capacity** — essentially the signed order. Our base case of **45 units** sits below even that; every unit above it is upside

Path To First Power

Dec-25	1H26	Jul-26	4Q26	2027
FTAI Power launched	Prototype tested in Montreal	$1.465bn order; unit in Miami	Commercial launch	Batch deliveries to Nov-27

Why The Ramp Is Credible

- **Feedstock in hand:** FTAI owns **1,000+ CFM56 engines**; 22,000+ were built. No new-build hot section is needed, only the core it already overhauls
- **Capacity:** launch release targets **100+ units a year**; ~$150M of Power inventory built in 4Q25 and ~$250M of working capital planned for 2027
- **Packaging outsourced:** Jereh supplies the package, generator and gearbox from US, Canadian, UAE and Chinese plants, so FTAI's own shops only do the turbine
- **Learning curve already run:** the same technicians restore ~1,200 CFM56 modules a year; a conversion is reported at **30–45 days**
- **First power:** management says it is "prudent to expect deliveries in 2027"; we model **2 units in 4Q26** and 45 in FY27

Power economics	Base	Mgmt framing
Price per unit (25 MW)	$25M ($1M/MW)	~$1M/MW
EBITDA margin	40%	"As good or better" than Aerospace
EBITDA per unit	$10M	$7–8M
FY27E Power EBITDA	**$450M**	**$450–750M**

Order math: $1.465bn ÷ ~$25M per unit ≈ **58 units ≈ 1.45 GW**, i.e. more than our entire FY27E base case. Every unit FTAI ships beyond 45 is upside to our numbers

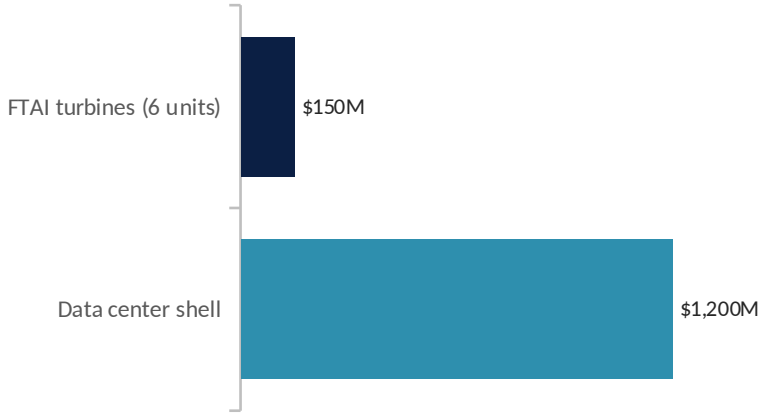
Source: FTAI Power launch release (30-Dec-25); Q4'25, Q1'26, Q2'26 calls; J&F order release (22-Jul-26); GPS model

Thesis 3 (5/5): Why FTAI Has The Right To Win

FTAI AVIATION

Cheap, Available Now, And Mobile: The Units Leave When The Grid Arrives

Cost To Power 100 MW Of Load ($M)



~13%

of build cost ex-GPUs, with 50% spare units; **~2%** of an all-in AI site ($50–60M/MW)

When New Supply Can Arrive

Supplier	Earliest slot	$/kW
FTAI Mod-1	**2027**	**~$1,000**
GE Vernova aeros (LM6000)	2028–30	$1,400–2,000
Siemens Energy	3+ yrs	n.d.
MHI large frame	2028–30	~$2,000+
Caterpillar recips	72–104 wks	n.d.
Boom Superpower	250 MW in 2027	~$1,030

OEM gas backlog incl. reservations: **~220 GW** (GEV 116, SE 95 incl. reservations, MHI 35). Crusoe **walked away** from Boom in Sep-26: unproven new entrants carry the risk FTAI's flown core avoids

Transitory Units Accelerate ROIC

- An idle AI site burns **~$1M per MW per month** (GPU depreciation + cost of capital). A $1M/MW unit **pays back in about a month** of earlier energization
- Units are **mobile**: once the grid arrives they redeploy to the next site, so the owner is not stranded with a 20-year plant
- A behind-the-meter fleet keeps working as **backup and peak** under PJM's bring-your-own-capacity rules from 2027

~1 month

of earlier energization pays for a **$1M/MW** unit

What One More Contract Is Worth

Signed order only	**45 units** in FY27E **$450M** Power EBITDA **+$52 / share** at 12x	**+1 contract (~1 GW)**	**~90 units** in FY27E **~$750M** Power EBITDA **+$35 / share** at 12x	**+2 contracts**	**~130 units** in FY27E **~$1.05bn** Power EBITDA **+$70 / share** at 12x

Source: CNBC (Jun-26); JLL, Turner & Townsend build costs; GE Vernova, Siemens Energy, MHI Q2'26 filings; Rabobank; GridLab; TechCrunch; GPS model (12x Power EBITDA, 104.0mm shares; incremental value vs signed order)

Valuation: Cases Overview

FTAI AVIATION

FY27E Sum Of The Parts By Case, Cross-Checked With A Blended DCF

Bear Case

Key assumptions

- Aerospace margin stuck at **28.5%** through FY31; no PMA
- Third-party share stalls at **15%**; modules ~1,400
- -5B retirements **4–5%**/yr; inventory stays bloated
- Power: **30 units** FY27, 50 a year after; **30%** margin, **50%** of JV
- SCI stops at 400 aircraft

SOTP target: $173
Implied return: +4%
DCF: $103 (–39%)
Weighting: 20%

Base Case

Key assumptions

- Aerospace margin **~30%** FY26–27, rebuilding to **32.5%** by FY31 (half price pass-through + PMA 0.9→9%)
- Third-party share **17% → 20%** by FY30; **1,687** modules FY27E
- Power: **45 units** FY27 (signed order), 110 by FY29 at 40%
- SCI to 700 aircraft by FY30

SOTP target: $277
Implied return: +66%
DCF: $308 (+84%)
Weighting: 60%

Bull Case

Key assumptions

- Margin recovers to **31%** FY27E and **34.5%** FY31 as light work returns
- Third-party share **25%** by FY31
- Power: one more contract, **130–170 units** a year
- Base-case SCI and PMA

SOTP target: $308
Implied return: +85%
DCF: $387 (+132%)
Weighting: 20%

Probability-weighted SOTP: $262 (+57%) | Base target: $277 (+66%) | R/R (blended DCF bull vs bear): 3.4x

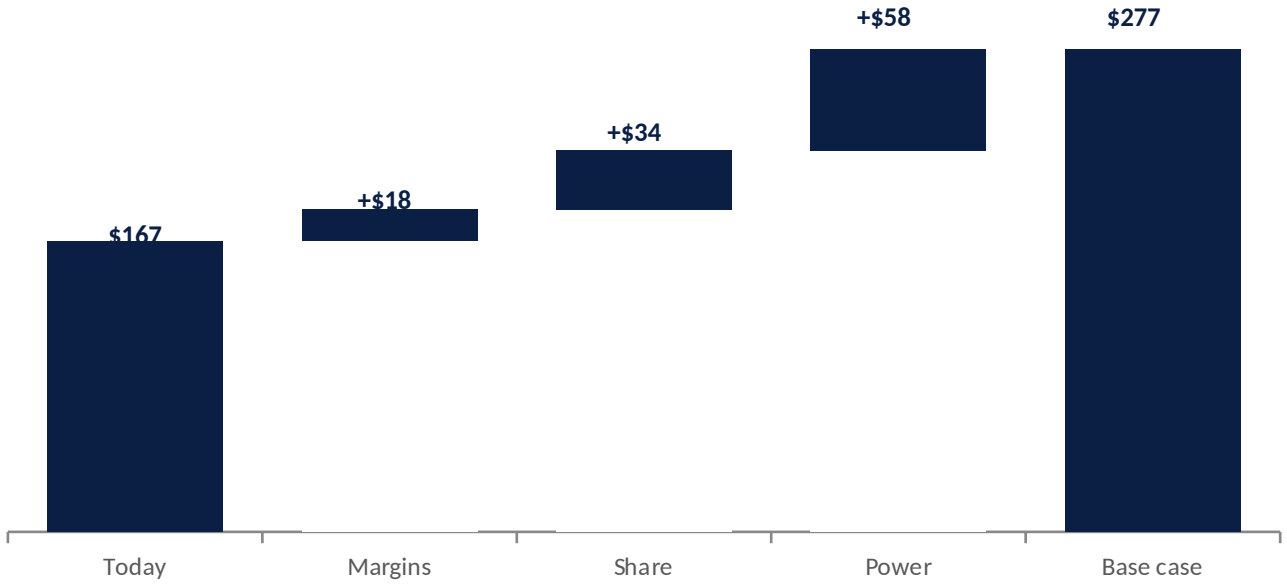
Source: GPS model case toggle; SOTP at Aerospace 16x, Power 12x, Leasing + SCI 9x, corporate at blended multiple; DCF 9.5% WACC, 3% TGR / 13x exit, 50/50 blend

Valuation: Sum Of The Parts & DCF

FTAI AVIATION

At $167 The Market Pays For The Bear Case; Each Thesis Adds Value From There

From Today To Our Base Case ($ / Share)



Today's price is roughly our bear case. Switching each thesis from bear to base: **margins +$18, share +$34, Power +$58** (signed order only)

FY27E Sum Of The Parts (Base)

Aerospace $1,541M × 16x = **$237** | Power $450M × 12x = **$52** | Leasing+SCI $455M × 9x = **$39** | Corp. **–$28** | Net debt & pref. **–$24** → **$277**

DCF Cross-Check (Base)

	Perpetuity	Exit multiple
WACC	9.5%	9.5%
Terminal assumption	3.0% TGR	13.0x EBITDA
PV of FY26–31 UFCF ($M)	7,288	7,288
PV of terminal value ($M)	25,106	30,778
Enterprise value ($M)	32,394	38,066
Implied share price	**$280.77**	**$335.29**
Implied cross-check	10.6x exit	4.2% TGR

Blended DCF: $308 (+84%)

Implied Price: WACC vs Terminal Growth

WACC \ TGR	2.5%	3.0%	3.5%
9.0%	$286	$307	$331
9.5%	$263	**$280**	$299
10.0%	$242	$257	$273

Source: GPS model (FY27E SOTP; DCF tab); price $167.03 (2-Oct-26); 104.0mm diluted shares

Catalyst Path

FTAI AVIATION

29-Oct-26

Q3'26 results: first print after the 30% reset

- Aerospace margin **≥30%** with modules on track for 1,200; first PMA usage and pricing commentary
- Leasing-to-inventory transfers keep shrinking; SCI II fundraising update

10-Dec-26

Investor day (New York)

- 2027 framework: **1,700 modules**, Jakarta/Cairo ramp, United CFM56 MRE scope
- Power: delivery schedule for the $1.465bn order and **backlog beyond it**

Feb-27

Q4'26 print and FY27 guide

- **Second ~30% print**: the market stops reading 30% as a waypoint
- FY27 guide vs. $2.3bn segment EBITDA framework; buyback pace ($500M authorised)

2027

Power deliveries and new contracts

- Batch deliveries through **Nov-27**; first revenue recognition
- Any second hyperscaler order (+$35/share per ~1 GW contract) from the sites on our screen

Source: FTAI (Q3'26 timing release; Q2'26 supplement; buyback 15-Sep-26); GPS analysis

Risks & Mitigants

FTAI AVIATION

	Risk	Mitigants
I	**Margins keep falling: 30% is a waypoint, not a floor**	▪ <8% of inventory came from leasing; worst-case residual drag ≤150 bps, inside our 28.5% bear case ▪ Bear case already holds 28.5% with zero PMA and still prints **$173**
II	**Short-report overhang: governance discount never closes**	▪ Audit-committee review found claims without merit; no restatement; transfers now flow **inventory → leasing** ▪ $500M buyback authorised Sep-26; each clean print shrinks the discount
III	**CFM56 retirements accelerate (fuel shock, LEAP fixes)**	▪ Actual retirements **1.5–2%** vs GE's 2–3% assumption; IBA values stable, lease rates up ▪ LEAP durability cutover only in 2027; FTAI buys retiring fleets as feedstock (WestJet)
IV	**Power slips or the buyer walks (Boom/Crusoe precedent)**	▪ Signed PO with advance and milestone payments; delivery penalty capped at 10% ▪ Base case uses 45 units vs 100+ capacity; bear case haircuts Power to $113M EBITDA
V	**Jereh JV: China supply-chain, tariff and FEOC exposure**	▪ Jereh packages from US, Canadian and UAE plants as well as China; FTAI supplies the turbine ▪ Key diligence item; Power is <20% of our FY27E SOTP ex-net debt

Source: FTAI filings and calls; GE Aerospace; IBA; J&F order release (22-Jul-26); TechCrunch / CryptoBriefing (Boom–Crusoe); GPS model

Q&A

Appendix

Appendix: Operating Model & Cash Flow (Base)

FTAI AVIATION

$M	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue							
Aerospace Products	1,936	3,474	5,150	6,258	6,794	7,147	7,473
FTAI Power	0	50	1,125	2,250	2,750	3,000	3,250
Aviation Leasing + SCI	571	330	300	285	275	265	255
Total revenue	**2,508**	**3,854**	**6,575**	**8,793**	**9,819**	**10,412**	**10,978**
y/y growth		*53.7%*	*70.6%*	*33.7%*	*11.7%*	*6.0%*	*5.4%*
Adj. EBITDA							
Aerospace Products	671	1,045	1,541	1,920	2,134	2,289	2,431
margin	*34.7%*	*30.1%*	*29.9%*	*30.7%*	*31.4%*	*32.0%*	*32.5%*
FTAI Power	0	20	450	900	1,100	1,200	1,300
Aviation Leasing + SCI	609	475	455	440	430	420	410
Corporate & eliminations	(82)	(230)	(207)	(215)	(225)	(235)	(245)
Total adj. EBITDA	**1,198**	**1,310**	**2,239**	**3,045**	**3,439**	**3,674**	**3,896**
margin	*47.8%*	*34.0%*	*34.0%*	*34.6%*	*35.0%*	*35.3%*	*35.5%*
Unlevered free cash flow							
NOPAT		683	1,388	1,975	2,253	2,417	2,571
(+) D&A and SBC		225	230	229	229	232	235
(–) Change in NWC		(355)	(476)	(190)	(232)	(147)	(138)
(–) Capex (leasing + PP&E)		(229)	(156)	(172)	(175)	(176)	(177)
(+) Leasing asset sales		410	250	25	0	0	0
(–) SCI investment, net of distributions		(221)	(191)	(89)	(89)	(89)	(89)
UFCF		**512**	**1,045**	**1,778**	**1,987**	**2,237**	**2,403**
% of adj. EBITDA		*39.1%*	*46.7%*	*58.4%*	*57.8%*	*60.9%*	*61.7%*
Net debt / adj. EBITDA	2.6x	2.3x	1.1x	0.3x	-0.1x	-0.6x	-1.1x
vs. Jefferies (2-Aug-26)							
Total adj. EBITDA: Jefferies		1,289	2,099	3,023			
GPS vs Jefferies		21	140	22			

Source: GPS model (Operating Model tab); Jefferies estimates (2-Aug-26)

Appendix: Aerospace Products Revenue Build (Base)

FTAI AVIATION

	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E	FY31E
CFM56 fleet & shop demand							
CFM56-7B EoP fleet	13,809	13,654	13,381	13,114	12,786	12,466	12,092
retirement rate	*1.3%*	*1.5%*	*2.0%*	*2.0%*	*2.5%*	*2.5%*	*3.0%*
CFM56-5B EoP fleet	8,903	8,759	8,540	8,284	7,994	7,714	7,406
retirement rate	*1.3%*	*2.0%*	*2.5%*	*3.0%*	*3.5%*	*3.5%*	*4.0%*
Total shop visits	2,350	2,385	2,386	2,318	2,219	2,120	2,056
Module demand (3 per visit)	**7,050**	**7,156**	**7,159**	**6,953**	**6,656**	**6,359**	**6,168**
FTAI volume							
FTAI third-party share	9.6%	12.4%	16.8%	19.0%	19.5%	20.0%	20.0%
Third-party modules	675	865	1,206	1,321	1,298	1,272	1,234
SCI aircraft (EoP)	130	316	450	550	650	700	750
SCI modules (20% SV rate, 2 engines)	82	328	482	660	780	840	900
FTAI modules produced	**757**	**1,193**	**1,687**	**1,981**	**2,078**	**2,112**	**2,134**
Price & margin							
Revenue per module ($M)	2.56	2.91	3.05	3.16	3.27	3.38	3.50
Aerospace revenue ($M)	1,936	3,474	5,150	6,258	6,794	7,147	7,473
EBITDA margin ex-PMA	34.7%	30.1%	29.8%	30.3%	30.8%	31.2%	31.5%
PMA penetration	0.0%	0.0%	0.9%	3.0%	5.0%	7.0%	9.0%
PMA uplift ($M, $0.4M / module)	0	0	6	24	42	59	77
Aerospace adj. EBITDA ($M)	**671**	**1,045**	**1,541**	**1,920**	**2,134**	**2,289**	**2,431**
EBITDA per module ($K)	887	876	913	969	1,027	1,084	1,139

Source: GPS model (RPM, Assumptions tabs); GE / CFM shop-visit outlook

Appendix: DCF Sensitivities

FTAI AVIATION

Perpetuity Growth Method (Terminal Growth Rate)

WACC	2.0%	2.5%	3.0%	3.5%	4.0%
8.5%	$293	$314	$339	$368	$404
9.0%	$269	$286	$307	$331	$359
9.5%	$248	$263	**$280**	$299	$323
10.0%	$230	$242	$257	$273	$292
10.5%	$213	$224	$236	$250	$267
11.0%	$199	$208	$219	$231	$245

Exit Multiple Method (EV / EBITDA)

WACC	11.0x	12.0x	13.0x	14.0x	15.0x
8.5%	$304	$328	$352	$376	$400
9.0%	$297	$320	$343	$367	$390
9.5%	$289	$312	**$335**	$358	$380
10.0%	$282	$304	$327	$349	$371
10.5%	$275	$297	$319	$340	$362
11.0%	$269	$290	$311	$332	$353

WACC Build

Input	Value
Risk-free rate	4.2%
Market risk premium	4.5%
Adjusted beta (0.67 × 1.51 raw + 0.33)	1.34
Cost of equity	10.2%
After-tax cost of debt (7.2% pre-tax, 21.4% tax)	5.7%
E / (D+E)	83% / 17%
WACC	**9.5%**

Reward / Risk (Blended DCF By Case)

Case	Perpetuity	Exit	Blended	vs $167
Bull	$356	$419	$387	+132%
Base	$281	$335	$308	+84%
Bear	$87	$118	$103	–39%

R/R skew: 132% / 39% = 3.4x

Source: GPS model (DCF, WACC tabs; case toggle recalculated)

Appendix: Power Model & Market Build

FTAI AVIATION

FTAI Power (base)	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E	FY31E
Mod-1 units delivered	0	2	45	90	110	120	130
MW per unit	25	25	25	25	25	25	25
MW delivered	0	50	1,125	2,250	2,750	3,000	3,250
$M per MW	1.00	1.00	1.00	1.00	1.00	1.00	1.00
FTAI Power revenue ($M)	**0**	**50**	**1,125**	**2,250**	**2,750**	**3,000**	**3,250**
EBITDA margin	*40.0%*	*40.0%*	*40.0%*	*40.0%*	*40.0%*	*40.0%*	*40.0%*
FTAI Power adj. EBITDA ($M)	**0**	**20**	**450**	**900**	**1,100**	**1,200**	**1,300**
Bear units / Bull units	0	0	30	45	50	50	50
	0	*2*	*55*	*130*	*150*	*160*	*170*

US power market (GW unless noted)	2026	2027	2028	2029	2030	2031
US data center energy demand (TWh)	298	372	464	549	649	746
Tracked hyperscaler planning capacity	1.5	3.9	5.9	7.7	9.6	11.2
Reserve shortfall: PJM	0.0	0.0	0.0	8.4	21.6	36.9
Reserve shortfall: MISO	0.0	0.0	0.0	0.0	5.5	9.0
Reserve shortfall: total	**0.0**	**0.0**	**0.0**	**8.4**	**27.2**	**47.2**
Regions below requirement	0	0	0	1	2	5

Method: NERC 2025 LTRA regional demand and anticipated capacity by assessment area, reserve margin requirement applied; 67 hyperscaler power agreements tracked by COD and delivery haircut (no incremental capacity credited to NERC in base). Big Four CY26 capex $732.5bn; capex/PPA correlation 0.89 in levels, 0.34 in log growth

Source: GPS model (Power outlook, Power Market Assumptions, Regional model, Power agreements tabs); NERC 2025 LTRA